PRD for Volt Money

PRD: Loans Against Demat Mutual Funds

Volt Money · Sudiksha Gupta

> **Summary:** Let users pledge mutual funds held in demat, show one combined limit across all holdings, explain low limits clearly, and fix the post-loan moments users complain about.

---

1. Context

- Volt Money offers fully digital loans against mutual funds (LAMF), but only for non-demat funds held with registrars (CAMS, KFintech). smallcase has the same gap.
- Volt Money is owned by DSP Group (deal reported closed Feb 2025). DSP Finance can be the lender, and DSP gains when investors borrow instead of redeeming.

---

2. Problem

User problem: Ankur has ~₹16 lakh in mutual funds, almost all in demat. The app counts only his ₹22,090 non-demat fund, shows a ₹11,045 limit, and blocks him at the ₹25,000 minimum. The reason sits in a calculation popup as fine print, with no fix offered. He redeems or takes a 14–24% personal loan.

Business problem: Creditworthy, low-risk borrowers drop off at eligibility, and the loan book loses them.

Root causes

1. Holdings fetch reads only registrar (RTA) data, so demat units are invisible.
2. Pledging supports only RTA lien marking, not CDSL/NSDL pledges.
3. The low-limit screen gives no clear reason or next step.

---

3. Opportunity sizing

Market anchors: LAMF outstanding ~₹50,000–55,000 crore (2025). Industry MF AUM ₹81.92 lakh crore (Apr 2026). LAMF penetration ≈ 0.64% of AUM.

Key unknown: share of MF AUM held in demat (no public figure found).

Demat share of AUM	LAMF potential	Volt Money at 10% share
5%	₹2,621 crore	₹262 crore
10%	₹5,243 crore	₹524 crore
20%	₹10,486 crore	₹1,049 crore

Bottom-up check (replace with real funnel data): 1,00,000 monthly limit checks × 15% blocked by demat × 30% conversion × ₹1.5 lakh average loan ≈ **₹810 crore a year** in disbursals.

---

4. Goals

Goals

- Count demat mutual funds toward the limit
- One combined limit across all holdings
- Replace the dead end with a reason and a fix
- Fix servicing gaps before larger limits go live

Non-goals (v1)

- Lending against shares, bonds or ETFs
- Changing the ₹25,000 minimum (separate experiment)
- Adding a new third-party lending partner

---

5. Users

Segment	Today
Demat-only holders	Limit near zero, blocked
Mixed holders	Low limit, often under ₹25,000

Segment	Today
Past drop-offs	Saw a below-minimum limit and left

Voice of the user

Five recent Play Store reviews (June–Sept 2026, overall rating 4.4). A small, negative-leaning sample: a signal, not a measurement.

Theme	Reviews
Unresponsive support	4
Repayment and closure failures (incl. interest after closure)	2
Surprise charges (unannounced date change, new annual charge)	2
Withdrawals frozen after a limit increase	1

Takeaways: the demat gap never shows up in reviews because blocked users never become customers. Servicing is the real launch risk.

---

6. User flow

1. **Low-limit screen** – reason + "Link demat holdings" (FR-3)
2. **Choose linking method** – Account Aggregator or depository login (FR-5)
3. **Consent OTP** – read-only access (FR-5)
4. **Fetch and merge** – demat + RTA holdings (FR-1, FR-4)
5. **Combined holdings** – one live limit, pick funds (FR-2)
6. **Review pledge** – fees upfront, depository OTP (FR-1, FR-6)
7. **Offer** – amount, rate, estimated interest (FR-7)
8. **Confirmation** – pledge status, unpledge info (FR-8)

---

7. Requirements

Core

ID	Requirement	Priority
FR-1	Pledge demat units via CDSL/NSDL, lender as pledgee	P0
FR-2	Unified holdings view with holding-type tags and one live limit	P0
FR-3	Below-minimum screen explains why and shows the fix	P0
FR-4	De-duplicate funds across RTA and depository data	P0
FR-5	Link demat via Account Aggregator (depository login as fallback)	P1
FR-6	All fees shown before confirmation	P0
FR-7	Offer screen with combined limit, rate, estimated interest	P0
FR-8	Full and partial unpledge on repayment	P1
FR-9	Label ineligible funds with the reason (e.g. ELSS lock-in)	P1
FR-10	Notify past drop-offs when demat goes live	P2

Servicing (from user reviews)

ID	Requirement	Priority
FR-11	Full repayment stops interest the same day, starts pledge release, sends a zero-dues statement	P0
FR-12	7 days' notice, in-app and by SMS, before any change to dates, interest, limit or charges	P0
FR-13	Charges tied to a limit increase shown on the offer and explicitly accepted	P0
FR-14	Paused withdrawals always show the reason and next steps	P0
FR-15	Support SLA: first reply in 24 h, fix in 3 working days, status in app	P1
FR-16	Repayment fallback via SMS/email payment link	P1

Prioritisation

Feature	Impact	Effort	Decision
FR-3 Explain low limit	High	Low	Ship first (weeks 1–2)
FR-1 Demat pledge	High	High	Core of v1
FR-2 Combined view	High	Medium	v1
FR-4 De-duplication	Guardrail	Medium	v1, non-negotiable
FR-5 AA linking	High	Medium	v1
FR-8 Partial unpledge	Medium	Medium	Fast follow
FR-11–14 Servicing	High	Low–Medium	v1, before larger limits

Why AA first: one consent flow covers both CDSL and NSDL, and users don't need to know their depository.
Why FR-3 first: no partner work, helps every blocked user now, and measures how many hold demat funds.

---

8. Limit calculation

Limit = Σ (fund value × LTV) for selected eligible funds, capped by the lender's exposure limit.

Fund	Held as	Value	LTV	Limit
Large Cap	Non-demat	₹22,090	50%	₹11,045
Flexi Cap	Demat	₹6,20,000	50%	₹3,10,000
Small Cap	Demat	₹3,40,000	50%	₹1,70,000
Nifty 50 Index	Demat	₹2,80,000	50%	₹1,40,000
Corporate Bond	Demat	₹3,40,000	80%	₹2,72,000
Total		**₹16,02,090**		**₹9,03,045**

Sample LTVs. Final values come from the lender's credit policy.

---

9. Non-functional requirements

- Holdings fetch under 30 seconds; 90% of loans disbursed within 10 minutes
- 95%+ first-attempt pledge success, with rollback on failure

- Read-only consent, stored for audit, revocable
- Daily NAV refresh and limit recalculation
- Works inside PhonePe via the existing SDK

10. Edge cases

Case	Behaviour
Joint holder or different PAN	Count only first-holder units; explain exclusions
Fund already pledged elsewhere	Show "Already pledged", exclude
Selection below minimum	Disable CTA, show the exact gap
OTP failure or timeout	Keep selections, allow retry
Partial pledge success	Show what was pledged, offer retry
Market drop	Early alert, then margin call options
Consent revoked mid-flow	Stop and show how to reconnect

11. Success metrics

Metric	Target
Portfolio value counted toward limit	80%+
Below-minimum drop-off	−50% in two quarters
Demat link completion	70%+
Offer-to-disbursal (demat users)	+20%
Time to disbursal	<10 min for 90%
Forced liquidation rate	<2%

Guardrails: pledge failure rate, interest charged after closure (zero), complaints per 1,000 loans, support resolution time.

12. Who builds what

Area	Volt Money	Lender (e.g. DSP Finance)	Depository / AA
Holdings fetch	AA integration, merge, de-dup	–	Share holdings via AA
Limit engine	Calculates limit	LTV policy, scheme list, caps	–
Pledge	Screens, OTP flow, status	Pledgee, raises request	Marks pledge, sends OTP
Loan	Offer screen, KFS display	Underwriting, disbursal, KFS	–
Monitoring	Alerts, part-repay	Margin calls, invocation	Executes invocation
Unpledge	Request screen	Approves release	Releases pledge

13. Risks

Risk	Mitigation
Pledge failures across systems	Pilot one lender + CDSL; daily reconciliation
Regulatory change	Lender compliance team; track RBI and depository circulars
Larger exposure in a market fall	Conservative LTVs, early alerts
Users wary of sharing demat access	Plain "what we see / can't do" screen
Servicing failures at larger limits	FR-11 to FR-16 ship before scale
smallcase ships first	Ship P0 scope only for the pilot

14. Rollout

Phase	Dates	Scope	Exit criteria
0. Quick win	2–13 Nov 2026	FR-3 for all users	Demat share of blocked users known
1. Build	16 Nov 2026 – 8 Jan 2027	FR-1, 2, 4, 5, 6, 7, 11–14; CDSL via AA	End-to-end test pledges pass

Phase	Dates	Scope	Exit criteria
2. Pilot	11 Jan – 19 Feb 2027	~5,000 past drop-offs; FR-10	Pledge success 95%+, link completion 70%+
3. Scale	22 Feb – 16 Apr 2027	NSDL, partial unpledge, all users, PhonePe	Metrics on track

15. Open questions

1. What share of drop-off users hold demat funds?
2. Which lender supports demat MF pledges first, and at what LTVs?
3. AA only, depository login only, or both for v1?
4. Should the ₹25,000 minimum be tested lower?
5. Who pays the depository pledge fee?

Links:

Sources: smallcase LAMF market outlook (Oct 2026), IPO Central, Clay. Rates, fees and LTVs are illustrative. Verify before publishing.